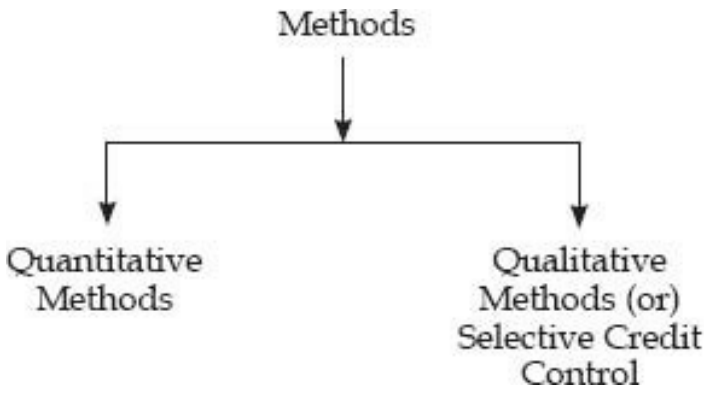
Figure 7.2



CC.1. Quantitative Methods

Quantitative methods aim at controlling the cost and quantity of credit. It does not discriminate between different sectors and end use of credit. These measures are applicable for the whole of the economy.

CC.1.A. Conventional Measures

The conventional tools used are Bank Rate, Open Market Operation and Variable Reserve Ratio.

CC.1.A. 1. Bank Rate Policy (or) Discount Rate Policy

Before learning what is bank rate and its operation, it is better to know what is bill of exchange and discount.

Bill of exchange denotes a written document that assures payment of money by purchaser to seller for the goods purchased at a future date.

Discount here implies the process of converting a bill into money at an earlier date than that is mentioned in bill of exchange (maturity date). The discount is carried if the receiver of bill of exchange needs money urgently. In this process, the receiver can approach a bank.